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Published by

Estimated reading time

7 min

Added on

2026-04-30

Address

<https://www.salon.com/2026/04/28/trump-wants-do-over-of-failed-airline-fantasy-at-taxpayers-expense/>

Trump wants do-over of failed airline fantasy — at taxpayers' expense

It looks like [Donald Trump](#) is taking on yet another side gig. In addition to his day jobs running the most powerful nation on earth, overseeing his family's fortune and serving as general contractor for the rebuilding of the White House and Washington, D.C., he is taking on yet another full-time responsibility. The president plans to [take over America's worst airline](#), turn it around and sell it for a profit. If there's a more perfect illustration of the Trump era, I don't know what it would be.

Hemorrhaging cash and in bankruptcy court, Spirit Airlines is on the brink of liquidation. The nation's largest budget airline has been struggling for years and has been forced to drastically downsize by [selling planes and cutting routes](#). With the federal government reportedly close to [stepping in with a \\$500 million bailout plan](#), Trump apparently wants to buy it outright and run it.

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The president does, after all, have experience with bankrupt airlines. Nearly 40 years ago, he [ran one into the ground](#). Between 1989 and 1992, he owned the Trump Shuttle, which ran routes between New York, Boston and Washington. He bought the fleet from Eastern Airlines as it was going out of business and immediately rebranded it from business-oriented flights to a luxury airline, retrofitting it with gold-plated fixtures in the lavatories and offering free champagne and steak dinners.

Trump Shuttle never turned a profit. His timing was bad, having bought an airline at a time when corporate customers were cutting back. And, by 1990, with America on the verge of the first Gulf War, jet fuel prices were through the roof. At the same time, Trump's casinos were in trouble and his bankers were taking over his businesses in order to avoid personal bankruptcy. The airline defaulted on its debt in less than a year.

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If you have a sense of déjà vu, it's understandable. Trump now wants another bite of that apple, this time on the American taxpayers' dime. Much like his refurbishing of the White House and [building the ballroom](#), which he and MAGA influencers are touting in the aftermath of [Saturday's shooting at the White House Correspondents' Dinner](#), he is using the presidency to re-do his early failed career. Instead of investing in branded casinos, he and his family have joined the cryptocurrency craze and are raking in massive profits. As he [said](#) just the other day when quizzed about the soldier who was indicted for betting on the prediction market, "The whole world is a casino, it is what it is."

Spirit Airlines has been in trouble ever since the pandemic and has filed for bankruptcy twice, most recently in August. Most analysts consider the company unsalvageable at this point, and even the Trump administration's bailout plan, which has been in the works for a while, appears to be a bipartisan nonstarter. As Sen. Tom Cotton, R-Ark., [pointed out](#), "If Spirit's creditors or other potential investors don't think they can run it profitably coming out of its second bankruptcy in under two years, I doubt the U.S. Government can either."

Sen. Ted Budd, R-N.C., added, “Americans shouldn’t be on the hook for another failing business as its competition thrives.” Across the aisle, Sen. Elizabeth Warren, D-Mass., wondered what the American people will get out of this, asking, “Will the failed airline executives be held accountable?” Even Transportation Secretary Sean Duffy sounded skeptical, [telling Reuters](#), “What we don’t want to do is put good money after bad, and there’s been a lot of money thrown at Spirit, and they haven’t found their way into profitability. And so would we just forestall the inevitable and then own that?”

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Well, yes. That’s the story of Donald Trump.

As the Bulwark’s Catherine Rampell [noted](#), “this would not be the first time our president has replaced the invisible hand with his own grubby paws.” His “command-and-control, right-wing-socialism-style economic agenda” has already resulted in the government purchasing [\\$21 billion](#) worth of equity stakes in private companies including U.S. Steel, Intel and the mineral company M Materials. As Rampell pointed out, “if a President Bernie Sanders or AOC had attempted Trump-style market interventions (aggressive tariffs, [attempted](#) price controls, partial nationalization of private companies), Republican politicians would be screaming ‘Communism!’”

But Trump is just doing what he said he was going to do, which is to run the government like he runs his businesses — badly. The head of the allegedly free market GOP has no ideological qualms with his new model of [privatizing the state while socializing the private sector](#).

It’s not that Trump is doing anything particularly unusual in bailing out a company, but such action is typically taken to protect an entire sector of the nation’s economy, or even the overall economy itself. (There is talk of using the Defense Protection Act for any takeover, but it would be tough to explain why Spirit Airlines is vital to national security.) The first bailout took place in 1792 when Alexander Hamilton saved the Bank of New York and the Bank of Maryland with funds from the U.S. Treasury. Throughout the 1800s and early 1900s, the federal government stepped in repeatedly during banking panics to stabilize the system.

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But depending on your definition of “bailout,” things changed in the mid-20th century. The Great Depression saw more sophisticated economic theories that informed President Franklin Roosevelt’s New Deal policies, and a new paradigm emerged about government intervention in other industries to prevent collapse of entire sectors and ameliorate the human suffering caused by economic volatility. It has since been a non-stop source of controversy.

In 1971, Congress passed the Emergency Loan Guarantee Act, and its first recipient was defense contractor Lockheed, a move that sparked widespread protest that the company that had been more or less profiteering during the Vietnam War should be bailed out by taxpayers. Soon came the bail out of Chrysler, the entire savings and loan sector, and even New York City, with each drawing

objections that were partisan or bipartisan depending on the objective.

The last 25 years have seen historic bailouts. After 9/11, the government stepped in to bolster the airline industry, and in 2008 it propped up a variety of industries and businesses during the Great Recession. Since that was largely caused by malfeasance on the part of many of the very entities being bailed out, dissent was widespread — especially when responsible executives and business leaders not only escaped accountability but ended up being rewarded with massive golden parachutes.

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On the other hand, the biggest bailouts in American history came just over five years ago during the Covid-19 pandemic and spanned both Trump and Biden's administrations, and they almost certainly saved the economy. In fact, Biden's American Rescue Act engineered the so-called soft landing that prevented the nation from spiraling into a recession and made America's recovery the [envy of the world](#).

Just over a year into his second term, Trump has pretty much reversed those gains. America's economy is teetering due to his obsession with unnecessary tariffs and the war he started in Iran for no good reason. Now he wants to reprise his early business failures by buying an airline in the middle of an oil shock that he caused. It doesn't get any more Trumpian than that.

As Rampell archly observed, if he's going to create a national airline, the least Trump could do is find one that isn't a [national joke](#). Other countries have flagship luxury airlines like Emirates, or excellent brands like Scandinavian Airlines. The U.S. could soon have the "universally detested Temu Greyhound of the Skies."

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Sadly, I'm afraid that's the perfect metaphor for our time. Trump is running the country like a business all right — his own, which went bankrupt six times and ended up being nothing more than a celebrity brand propped by a reality television show. Welcome to America, Inc.

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